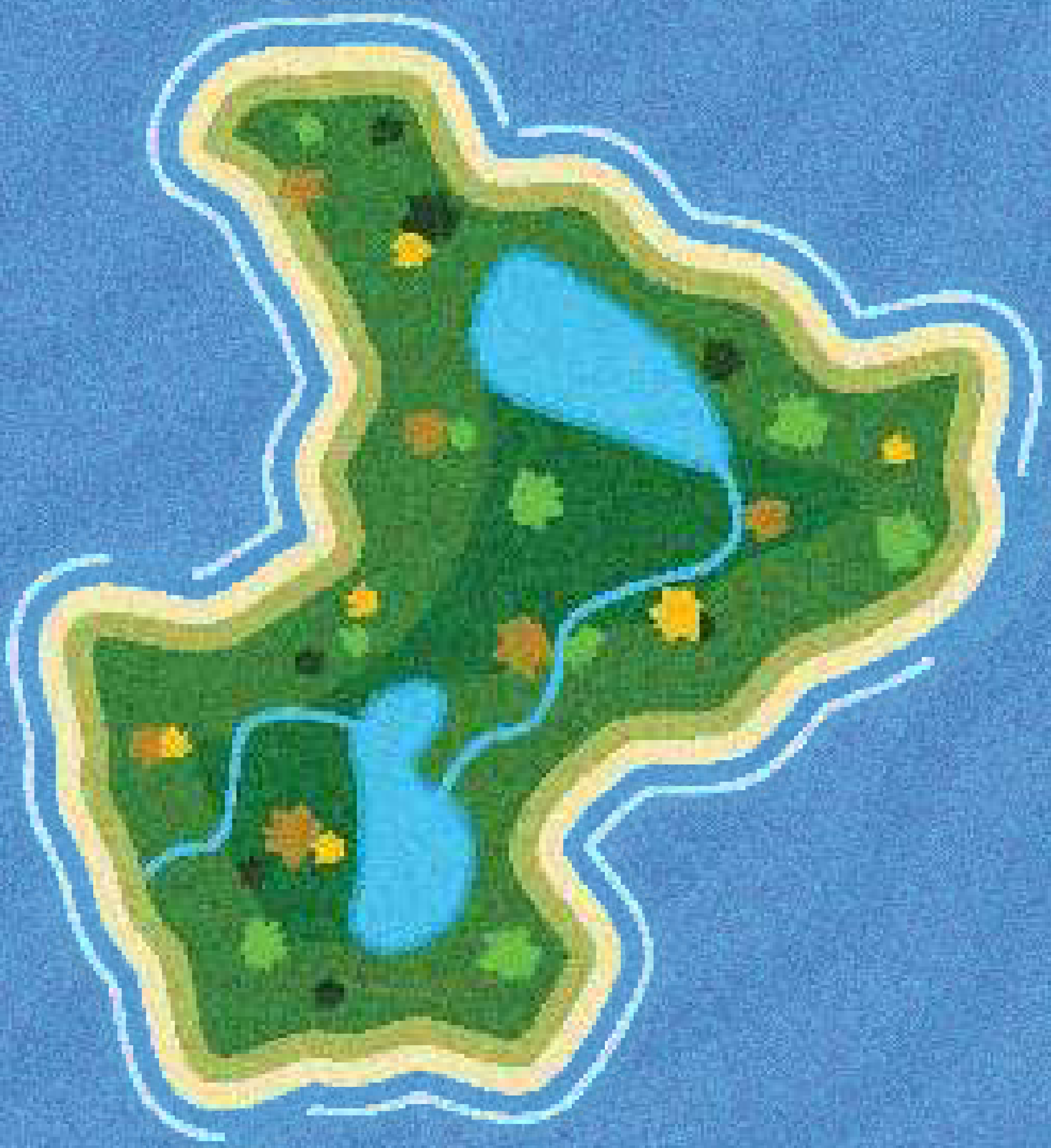
Suppose you live in a country in the Atlantic Ocean.



You have earned

Income	+100,00
Tax	- 10,000
Net Income (After Tax)	90,000

The local government informs you that you are required to pay a 10% tax to the government. The calculation is simple. You will pay 10,000 dollars as tax.

+100,000

You have earned 100,000 bucks in a financial year.

50,000
(No tax)

50,000
Tax: 5,000

Now, the government wants to encourage citizens to buy houses. It tells you that if you buy a house for 50,000 bucks then that money will be removed (exempted) from the total earning of the year. Then you will only have to pay tax on 50,000 bucks. That will amount to 5,000 bucks. This is how taxation systems become complicated.

As time passes, the complexity of a country's taxation system increases. Before we move forward, let's understand the income tax.